

Daily Need to Know

Thursday, 13 August 2026 · pre-market brief · all times GMT+8 (HKT)

COVERING The Wednesday 12 August US cash session as settled (16:00 ET = 04:00 GMT+8 this morning), the July CPI print that landed inside it, the overnight futures, FX, metals and crypto tape, and Wednesday's Asian and European closes. Live marks were captured in a tight window, 06:15–06:35 GMT+8 Thursday. No Asian cash market had opened when this brief was cut, so every Asian level below is Wednesday's close carried forward and is marked as such; the overnight futures are where the forward information is, and Japan is where it is loudest.

EDITION FULL — Hedgeye logged-in edition. app.hedgeye.com was reachable and the research was read in full: Keith McCullough's Early Look "Don't Suck During #Quad1" (12 Aug, 07:35 ET) carrying the complete sixteen-line Risk Range table, the Chart of the Day "Cap Weighted ≠ Diversified", Wednesday's Macro Show, the Crypto Quant note, and the Signal Strength Stocks update. Section 4 is built from those. The headline there is not a level, it is a regime: Hedgeye has moved to #Quad1 with a 3-1-2 Quad Count. That is a different market from the #Quad3 this brief described twenty-four hours ago, and section 4 treats the change as the day's most important fact. Note the Risk Ranges were published Wednesday morning and are therefore computed off Tuesday's close; section 4 marks Wednesday's actual settles against them, which is where the information is.

METHOD Index, sector and single-stock levels were cross-checked across three independent sources before use; where they disagreed the official exchange-reported close was taken. Two disagreements were material enough to record. The S&P 500 close printed as 7,748.50 on two sources and 7,748.71 on a third; 7,748.50 is used throughout. The 10-year yield fell 2bp on the official Treasury par curve, struck at 15:30 ET, but rose 0.4bp on a 17:00 ET close-to-close basis — the table uses the official par yields and section 3 explains why the difference is itself the story. The primary quote feed normally used for this brief was again unavailable on plan grounds this morning, so all equity marks are sourced from public exchange-reported closes.

TL;DR

The regime changed, and the tape had already changed with it. Hedgeye moved the US economy out of #Quad3 and into **#Quad1** in Wednesday's Early Look, with a 3-1-2 Quad Count. In plain terms: growth accelerating, inflation decelerating — the one quadrant in which value can beat growth, and the one that broadens the opportunity set beyond high-beta momentum. The S&P 500 rose only 0.26% to 7,748.50. Underneath it the **Russell 2000 closed at a record 3,045.48**, the NYSE Composite made a fresh 52-week high, the Dow Transports rose 1.44% and eight of eleven sectors were green. Broadening is exactly what #Quad1 looks like.

July CPI landed on consensus on all four measures — and the mega-caps still fell. Headline +0.1% m/m and 3.4% y/y from 3.5%; core +0.2% m/m and 2.5% y/y from 2.6%, the lowest core reading since February. September rate-hike odds — note the direction — fell from roughly 44% to 39%. Yet of the eight largest US companies, seven closed lower. The group shed about \$93 billion of combined market value, and that is **after** Nvidia added \$160 billion on a 3.03% gain. Strip Nvidia out and the mega-caps lost roughly \$253 billion on a day the index rose. Microsoft fell 2.26%, Meta 3.38%. Capital left crowded software and social and went into semis, optics and power: SOX +2.49%, CoreWeave +19%, Supermicro +19%, Nebius +34%.

The long end refused to ratify any of it. The front end rallied on the print — the 2-year traded 4.176% intraday — and then gave almost all of it back. The 30-year **rose** to 5.254%, close to its highest in nearly two decades, and 10s30s steepened to +56bp. A curve that steepens from the long end while the front end is being repriced dovishly is not a growth signal; it is a term-premium signal. That is the single live tension against the #Quad1 call, and section 4 does not smooth it over.

Overnight, Japan is where the dispersion is. Nikkei futures are 68,590, up 1,445 points or 2.15%, against a Wednesday cash close of 67,524.06 — an implied gap of roughly 1.6% into the Tokyo open. US futures are doing nothing at all: ES -0.02%, NQ -0.12%, YM +0.02%, RTY +0.07%. PPI and jobless claims at 20:30 GMT+8 tonight, and Applied Materials after the US bell, are the day's binaries.

S&P 500 7,748.50 ▲ +0.26%	RUSSELL 2000 3,045.48 ▲ +0.61% · record	SOX 12,399.38 ▲ +2.49%	US 10-YEAR 4.68% ▼ -2 bp	VIX 14.55 ▼ -4.78%
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1

Market snapshot — Wednesday 12 August, as settled

ASSET	LAST	CHANGE	NOTE
US CASH EQUITIES — SETTLED CLOSE, WED 12 AUG, 16:00 ET (04:00 GMT+8 THU)			
S&P 500	7,748.50	▲ +20.30 / +0.26%	A 28.06-point range, 7,737.95–7,766.01 — the narrowest of the month. Opened at 7,765.46, effectively the high, and closed 37.6% up range. Volume 2.675bn against 2.503bn Tuesday, up 6.9%. Sits 0.58% below the 52-week high of 7,793.68 set 5 August.
Nasdaq Composite	26,588.49	▲ +143.04 / +0.54%	Twice the S&P's gain, and it recovered almost all of Tuesday's 0.60% fall. Ranged 26,531.93–26,688.24, closed 36.2% up range. Still 2.21% below the June record of 27,190.21.
Nasdaq 100	29,742.60	▲ +217.12 / +0.74%	Beat the Composite for once, which tells you the strength was concentrated in the largest semis rather than spread across the tape. Nvidia alone is roughly a tenth of this index.
Dow Jones Industrial Avg	53,770.27	▼ -21.58 / -0.04%	The only major down, and only barely. Ranged 53,731.96–53,969.36 and closed 16.1% up range — a weak finish inside a strong tape. Microsoft at -2.26% is the single largest drag in a price-weighted index.
Russell 2000	3,045.48	▲ +18.37 / +0.61%	Record close. The day's high of 3,051.02 is also the 52-week high. Small caps read a soft core CPI and a 2bp front-end rally as exactly what they wanted. This is the cleanest #Quad1 print on the board.
Philadelphia SOX	12,399.38	▲ +300.90 / +2.49%	Best major by a distance, recovering 300.90 of the 362.93 points lost on Monday — 83% of the rout, not all of it. And note the shape: the index traded 12,531.76 and closed 12,399.38, only 9.0% up its 145-point range. The buying was in the morning; the afternoon sold it.
NYSE Composite	24,758.62	▲ +73.05 / +0.30%	Fresh 52-week high — the day's high of 24,788.06 is the 52-week high. The broad tape is now making new highs while the cap-weighted S&P is 0.58% off its own. That gap is the whole argument in section 2.
Dow Transports	21,604.65	▲ +307.04 / +1.44%	The strongest reading in this table after the SOX, and a sharp reversal of Tuesday's 0.32% decline. Crude settled essentially flat, which removes the cost-line drag that hurt this index on Tuesday.
Dow Utilities	1,103.93	▲ +4.02 / +0.37%	Third consecutive gain, confirming XLU at +0.48%. Bond proxies worked on a day the front end rallied and the long end did not.
US INDEX FUTURES — LIVE GLOBEX MARKS, 06:22 GMT+8 THU			
ES (E-mini S&P, Sep 26)	7,769.25	▼ -1.25 / -0.02%	Dead flat inside a 2.5-point overnight range, 7,768.50–7,771.00. Basis to cash +20.75. The US tape is waiting for PPI.
NQ (Nasdaq 100, Sep 26)	29,817.75	▼ -35.50 / -0.12%	The softest of the four, giving back a sliver of Wednesday's semis-led gain. Cerebras fell roughly 14% after the bell on a GAAP revenue miss, and that is the marginal seller here.
YM (Dow, Sep 26)	53,880	▲ +9 / +0.02%	Unchanged to a rounding error. Cisco's after-the-bell beat and large FY27 raise is a Dow component doing the work.
RTY (Russell 2000, Sep 26)	3,054.90	▲ +2.10 / +0.07%	The only future with a meaningful bid, and it is holding above Wednesday's record cash close. Small caps are not giving the move back overnight.
NK (Nikkei 225, Sep 26)	68,590	▲ +1,445 / +2.15%	The outlier on the entire board. Against a 67,524.06 cash close this implies roughly a 1.6% gap into Tokyo. See section 12 — this is the single largest forward move anywhere overnight.
US TREASURIES — OFFICIAL PAR YIELDS, CLOSE 12 AUG, CHANGE VS 11 AUG			
2-year	4.20%	▼ -2 bp	From 4.22%. Traded as low as 4.176% at 09:41 ET on the CPI print, then gave back most of it. September hike odds fell from roughly 44% to 39% across the session.
5-year	4.38%	▼ -1 bp	From 4.39%. The belly barely moved — the smallest change on the curve.

ASSET	LAST	CHANGE	NOTE
10-year	4.68%	▼ -2 bp	From 4.70%. Traded 4.652% intraday and closed the round trip. A \$42bn 10-year auction stopped at 4.683% with a 0.1bp tail — clean, but no enthusiasm. Sits inside Hedgeye's 4.57–4.75 Risk Range at 66% up range.
30-year	5.24%	— unch	The one that matters. On a 17:00 ET close-to-close basis the long bond actually rose 1.9bp to 5.254%, near its highest in almost two decades. On a day inflation printed in line and the front end rallied, the long end would not follow.
2s10s spread	+48 bp	— unch	Held Tuesday's cycle high. Four sessions ago it was +46. The steepening has paused at the front, but not at the back.
10s30s spread	+56 bp	▲ +2 bp	New cycle high, and the second consecutive widening. The whole curve is now rotating around the long end rather than the front — a term-premium story, not a growth story.
VOLATILITY			
VIX	14.55	▼ -0.73 / -4.78%	Ranged 14.39–15.42 and closed 15.5% up range, in the bottom sixth. Inside Hedgeye's 14.18–17.11 Risk Range at just 13% up range — pressed against the bottom of the band. The lowest close since 30 July.
VXN (Nasdaq vol)	20.97	▼ -1.41 / -6.30%	Fell far more than the VIX, on a day the Nasdaq rose more than the S&P. Ratio to VIX 1.44, down from 1.46 — Nasdaq-specific risk pricing is compressing faster than the index.

2

The big picture — what it means

An index that rose while its largest constituents fell. Seven of the eight largest US companies closed lower on Wednesday. Microsoft fell 2.26% and shed roughly \$84 billion. Amazon fell 1.83% for \$54 billion. Meta fell 3.38% for \$52 billion. Apple fell 0.87% for \$39 billion, Tesla 1.59% for \$21 billion, Broadcom and Alphabet were flat to a rounding error. Against all of that, Nvidia rose 3.03% and added roughly \$160 billion. Net, the eight largest companies in America lost about \$93 billion of market value — and the S&P 500 went up 0.26%. Strip Nvidia out and the group lost roughly \$253 billion on a day the index rose and the Russell 2000 closed at a record. That is not a rounding error in the arithmetic; that is the arithmetic changing.

Hedgeye published the frame for this on the same morning. The Chart of the Day was titled “Cap Weighted ≠ Diversified”, and the Early Look made the point with a specific name: an investment committee holding a benchmark weight in Alphabet, a stock signalling bearish on both TRADE and TREND durations, is not running diversification, it is running “a concentrated bet wearing a fee-hugging index costume.” Wednesday is the cleanest illustration of that argument this year. The cap-weighted index sits 0.58% below its high while the equal-weight S&P, the NYSE Composite and the Russell 2000 are at or through theirs. If your benchmark is cap-weighted, you spent Wednesday explaining why you underperformed a market that went up.

The rotation had a direction, and it was not defensive. Money left crowded enterprise software and social — Microsoft, Meta, Salesforce, ServiceNow, SAP, Workday all lower — and went into the physical layer of the AI build: semiconductors, optics, power and neoclouds. CoreWeave rose 19.3%, Supermicro 19%, Nebius 34.1%, Lumentum 13.6%, Bloom Energy 12.3%, Cerebras 11.6% into its print, Coherent 8.2% into its own. This is not risk-off dressed as rotation. It is capital moving from the companies that *buy* compute to the companies that *build* it, on the back of four consecutive earnings reports that all said the same thing: demand is still ahead of supply.

THE TENSION WORTH HOLDING

Every argument above is a growth argument, and #Quad1 is a growth-accelerating, inflation-decelerating call. But the 30-year Treasury closed at 5.254%, up 1.9bp, near its highest in nearly two decades, on a day headline inflation decelerated to 3.4% and core to 2.5%. 10s30s steepened another 2bp to +56. That combination — front end rallying on a soft print, long end selling off anyway — is the bond market declining to ratify the disinflation. Schroders' George Brown put it bluntly on the wire: “measures of underlying inflation continue to flash red... the direction of travel remains higher, even if the timing of the first hike remains unclear.”

Two supporting facts make this harder to wave away. Core PCE, the Fed's actual target, ran 3.3% year-on-year in June against core CPI of 2.6% in the same month — a 70bp gap on the measure the Committee actually targets. And the July federal deficit came in at \$432.0 billion against \$346 billion expected, the largest monthly deficit since 2021, which lands directly on the long end as supply. The #Quad1 broadening call and an unresolved term-premium story are not mutually exclusive; Wednesday's tape said both things at once and did not attempt to reconcile them.

What Wednesday did not settle. September remains genuinely live at roughly 39% for a hike — close to evenly split, and not a settled question. The sell-side is split down the middle — Bank of America and PGIM look for hikes at all three remaining 2026 meetings, while Barclays, Jefferies, Morgan Stanley, Truist and UBS expect nothing for the rest of the year. There is a standing 9-3 split on the Committee itself, with Hammack, Kashkari and Logan having dissented in July for an immediate 25bp, and Schmid and Musalem sympathetic from outside the voting rotation. Hammack posted “Now is the time to act” on Tuesday. Chair Warsh has offered no forward guidance and did not speak this week. An in-line CPI does not break that deadlock — it defers it to PPI tonight and retail sales on Friday.

3

Rates, currencies & commodities

Rates. The entire day happened between 08:30 and 09:45 ET and then unwound. On the print the 2-year fell 4.2bp to 4.176% and the 10-year 3.2bp to 4.652%. By the close the 2-year had recovered to 4.203% and the 10-year to 4.688%, and the 30-year had gone the other way entirely, up 1.9bp to 5.254%. The official Treasury par curve, struck at 15:30 ET, records the 10-year down 2bp; the 17:00 ET close has it up 0.4bp. That 2.4bp gap is not a data error, it is ninety minutes of afternoon selling in the long end, and it is the most informative number in this section. The \$42bn 10-year auction stopped at 4.683% with a 0.1bp tail — adequate demand, no appetite.

Dollar. The dollar was down 0.1% at 99.66 immediately after the CPI print and closed higher across the board — DXY 99.98, up 0.16%, and 99.86 on the futures this morning. A currency that rallies on a dovish repricing of its own central bank is being bid for something other than rates. Euro 1.1522 at the close and 1.1539 now; sterling 1.3492 and 1.3494; dollar-yen 159.46 and roughly 159.06 this morning, with the yen the only major to firm overnight — which is worth noting given what Nikkei futures are doing. The kiwi was the weakest major at -0.37%, with the Swiss franc next at -0.36%. Note the DXY at 99.98 sits above the midpoint of Hedgeye's bearish 99.37–100.24 band, at 70% up range: the short-dollar position is being tested, not confirmed.

INSTRUMENT	LAST	CHANGE	NOTE
CURRENCIES — WED 12 AUG CLOSE, AND LIVE MARKS 06:28 GMT+8 THU			
DXY (Dollar Index)	99.98	▲ +0.15 / +0.15%	Reversed a post-CPI dip to 99.66 and closed higher. Futures 99.86 this morning. Above the midpoint of Hedgeye's bearish 99.37–100.24 band, at 70% up range — but still 26 cents inside the top.
EUR/USD	1.1522	▼ -0.16%	Live 1.1539, recovering a little overnight. The euro did the mirror image of the dollar and nothing more.
USD/JPY	159.46	▲ +0.12%	Live roughly 159.06 — the yen is the only major firmer overnight, and it is firming into a 2.15% Nikkei futures rally. That pairing is unusual and worth watching at the Tokyo open.
GBP/USD	1.3492	▼ -0.09%	Live 1.3494. Effectively unchanged for a second session.
USD/CHF	0.8135	▲ +0.36%	The dollar's largest G10 gain bar the kiwi. The franc was soft despite an unresolved Middle East conflict.
USD/CAD	1.3941	▲ +0.13%	Loonie soft on a flat crude settle and no progress on tariffs — Ottawa said Wednesday it is not satisfied with the latest US offer.
ENERGY — WED 12 AUG SETTLE, AND LIVE MARKS 06:28 GMT+8 THU			
WTI crude	\$83.27	▲ +\$0.07 / +0.08%	Settled all but unchanged after a five-session rally, having traded \$82.40–\$84.35. Live \$82.63, down 0.77% overnight. Inside Hedgeye's neutral 75.23–86.86 band at 69% up range.
Brent crude	\$88.55	▲ +0.08%	Traded close to \$90 on Wednesday morning — roughly 24% above pre-war levels — before fading. The EIA's 11 August outlook has Brent averaging \$87 for 2026 and no return to pre-conflict Middle East output until early 2027.
Natural gas	\$2.791	▼ -0.46%	Sits at 75% up range inside a Hedgeye band that is marked bearish, 2.58–2.86. The signal and the level disagree; the level is winning for now.
METALS — GOLD AND SILVER ARE WED 12 AUG SPOT CLOSES; COPPER AND PLATINUM ARE LIVE MARKS 06:28 GMT+8 THU			
Gold (spot)	\$4,407	▲ +0.82%	Gave back a large intraday gain into the close. December futures 4,461.20 this morning. Inside Hedgeye's bullish 4,186–4,538 band at 63% up range — and the Early Look explicitly flags a fresh #Quad1 bullish TRADE and TREND breakout in GLD.
Silver (spot)	\$65.23	▲ +0.89%	Just above the midpoint of a 61–69 bullish band, at 53% up range. Tracked gold almost exactly.
Copper	\$6.60	▼ -0.17%	Live mark. At 44% up range inside a bullish 6.44–6.80 band — the weakest positioning of the four metals, which sits oddly against a #Quad1 growth call.
Platinum	\$1,760.50	▼ -0.50%	Live mark, and the weakest of the precious complex overnight.

INSTRUMENT	LAST	CHANGE	NOTE
CRYPTO — LIVE MARKS 06:30 GMT+8 THU			
Bitcoin	\$63,408	▼ -0.22%	Ranged 63,270–64,346 overnight. Hedgeye's Crypto Quant flags spot volume and ETF flows both falling, with the bid concentrated in the US and Europe rather than Asia. Bitcoin sits 49.8% below its 52-week high of \$126,198.
Ethereum	\$1,877.52	▼ -0.17%	The same note marks ETH/ETHA as bullish. Ether has now tracked bitcoin's daily direction for five consecutive sessions.

The commodity fact that did not move the price. EIA weekly crude inventories built 17.423 million barrels against an expected draw of 1.405 million — the largest build since early 2023, a 19-million-barrel miss. WTI settled up seven cents. A market that absorbs a build of that size without breaking is a market where the supply story is geopolitical rather than inventory-driven, and section 11 explains why: just ten vessels transited Hormuz on Monday against roughly 130 a day before the war.

THE REGIME CHANGED: #QUAD3 → #QUAD1

Twenty-four hours ago this brief described a #Quad3 market — growth slowing, inflation accelerating — and traced the energy and utilities leadership and the steepening 2s10s curve that go with it. Wednesday's Early Look, "Don't Suck During #Quad1" (12 Aug, 07:35 ET), moves the call to **#Quad1: growth accelerating, inflation decelerating**, on a **3-1-2 Quad Count**. McCullough's framing is that this is the one quadrant where value can beat growth, and that it matters most coming directly out of a #Quad4 — the generic Quad4-to-Quad1 handoff, not a claim that July was #Quad4: "Especially if you're a Long Only Asset Allocator, you cannot suck during a #Quad1."

The practical consequence is a broadening of the buy list away from semis and high-beta momentum. The Early Look names thirteen alternative exposures explicitly (fourteen tickers — healthcare is named two ways), and several printed new all-time highs on Tuesday: high dividend yield (VYM), equal-weight S&P (RSP), dividend aristocrats (NOBL) and Russell 2000 dividend growers (SMDV). Also named: gold (AAAU), CLOs (CLOZ, ~9% yield), healthcare two ways (XLV and FXH), REITs (XLRE), insurance (IAK), multi-cap alpha (FAB), mobile payments (IPAY), core high dividend (HDV) and quantum (QTUM), the last sold before #Quad4 and bought back on sale this week.

What Wednesday's tape did with it. It ratified the broadening and then some. Russell 2000 record close, NYSE Composite 52-week high, RSP within nine cents of its own 52-week high at 221.08, XLRE second-best sector at +0.93% after being Tuesday's worst, XLV green. Eight of eleven sectors higher. On the specific short case, Alphabet closed -0.08% at \$343.54 — it stopped falling, which is the first thing the bear argument has had to answer in three sessions.

Risk Ranges — published 12 Aug pre-market off Tuesday's close, marked against Wednesday's actual settles

INSTRUMENT	RISK RANGE	SIGNAL	SETTLE	POSITION IN RANGE
RATES & CREDIT				
US 10-year yield	4.57 – 4.75	BULLISH	4.688%	66% well inside; the auction stopped at 4.683%
High Yield • HYG	79.07 – 79.80	BULLISH	79.61	74% credit did not flinch; +0.13% on the day
Inv. Grade • LQD	105.5 – 107.0	BEARISH	106.12	41% below midpoint, consistent with the signal
US EQUITIES				
S&P 500	7,560 – 7,899	BULLISH	7,748.50	56% mid-range; 150 points of headroom to the top
Nasdaq Composite	25,430 – 27,130	BULLISH	26,588.49	68% upper third, and rising
Russell 2000	2,978 – 3,075	BULLISH	3,045.48	70% record close, 30 points below the top of the band
Equal Weight • RSP	216.00 – 224.00	BULLISH	221.08	64% nine cents off its 52-week high
Health Care • XLV	162 – 170	BULLISH	168.44	80% the most extended long in the table
Real Estate • XLRE	44.00 – 45.75	BULLISH	44.49	28% bottom third — lowest in its band of the #Quad1 names listed
VOLATILITY, DOLLAR & COMMODITIES				
VIX	14.18 – 17.11	BEARISH	14.55	13% pressed against the floor; 37bp of downside left
US Dollar Index	99.37 – 100.24	BEARISH	99.98	70% upper third against a bearish signal — the live conflict
WTI crude	75.23 – 86.86	NEUTRAL	\$83.27	69% upper third of a deliberately wide neutral band
Natural gas	2.58 – 2.86	BEARISH	\$2.791	75% level and signal disagree
Gold (spot)	4,186 – 4,538	BULLISH	\$4,407	63% fresh TRADE and TREND breakout flagged in GLD
Copper (spot)	6.44 – 6.80	BULLISH	\$6.60	44% below midpoint — soft for a growth-accelerating call
Silver (spot)	61 – 69	BULLISH	\$65.23	53% midpoint; tracked gold almost exactly

Two tensions inside the Hedgeye set, flagged rather than smoothed. First, the dollar. USD is signalled bearish and closed at 99.98, in the top third of its own band and above the level it held all week. A short-dollar position is not wrong yet, but it is not working either, and a break of 100.24 would invalidate the band outright. Second, copper. A #Quad1 call is a growth-accelerating call, and copper is the most growth-sensitive line in the table; it closed at 44% up range, below its midpoint, and fell 0.17% overnight. Gold at 63% and silver at 53% are outperforming the industrial metal. That is a precious-metals bid, not a growth bid, and it sits awkwardly beside the quad.

The carried-over item. Hedgeye removed its Samsung long on 11 August at 13:18 ET on the view that the bull thesis had played out. This brief flagged the tension yesterday against a strong Korean tape, and the tension has widened rather than resolved: the KOSPI closed Wednesday up 3.68%. Separately, memory names rallied on reports that Temasek intends to invest in both Samsung Electronics and SK Hynix. The exit remains the call; the tape is not yet agreeing with it. Note also that Signal Strength Stocks was refreshed to 72 names, five added and five removed.

Crypto Quant. Bitcoin +0.7%, ether +1.5%, ETH/ETHA marked bullish, spot volume and ETF flows both falling, and the bid concentrated in the US and Europe against Asia. Overnight both are fractionally lower — bitcoin -0.22%, ether -0.17% — so the note's directional call has not yet been materially contradicted, but the flow deterioration it identifies is the more durable point.

5

Mega-cap scoreboard — the eight largest, Wednesday 12 August close

COMPANY	CLOSE	CHANGE	MARKET CAP	VOLUME	NOTE
Nvidia	\$224.09	▲ +3.03%	\$5.42tn	108.5m	The whole index. Added roughly \$160bn. No company-specific news — this was read-through from the CoreWeave, Supermicro and Nebius prints, plus positioning into its own 26 August report.
Apple	\$302.25	▼ -0.87%	\$4.41tn	40.6m	Shed roughly \$39bn. Note the July CPI showed core goods at +0.2% m/m, its firmest in months, which some desks tie to Apple's 15–30% hardware price rises effective 25 June.
Alphabet	\$343.54	▼ -0.08%	\$4.20tn	25.0m	Effectively flat, and that is the news. After a 3.84% fall on Tuesday that alone accounted for more than half the combined market-value loss of the eight largest, Alphabet stopped going down — while Hedgeye kept it as the named example of bearish TRADE and TREND.
Microsoft	\$492.43	▼ -2.26%	\$3.66tn	28.6m	The largest single drag, roughly \$84bn. Read as profit-taking — it still sits 11.9% above its 20-day and 13.9% above its 200-day — plus reports of another in-house Maia AI processor as early as September.
Amazon	\$267.28	▼ -1.83%	\$2.88tn	29.9m	Roughly \$54bn off. Second consecutive decline, and the drag inside XLY's -1.13%.
Broadcom	\$416.05	▼ -0.01%	\$1.98tn	15.8m	Unchanged to a rounding error on a day the SOX rose 2.49%. The most conspicuous non-participant in the semis rally.
Meta	\$578.85	▼ -3.38%	\$1.47tn	16.1m	Worst of the eight, roughly \$52bn. No hard catalyst beyond a German criminal complaint over Ray-Ban Meta glasses privacy. Trades below its 20-, 50-, 100- and 200-day; death cross since December 2025; -26% over twelve months.
Tesla	\$327.51	▼ -1.59%	\$1.29tn	28.6m	Roughly \$21bn off, reversing Tuesday's small gain.

THE ARITHMETIC

Combined market-value change across the eight: **-\$93 billion**. Nvidia alone: **+\$160 billion**. The other seven: **-\$253 billion**. Seven of eight closed lower. The S&P 500 rose 0.26%, the Russell 2000 closed at a record and the NYSE Composite made a 52-week high. There is no reading of those numbers in which mega-cap leadership survived Wednesday intact — and there is one in which a single semiconductor stock is now doing the work that seven used to share.

6

Positioning & options

Volatility is being sold, and specifically Nasdaq volatility. The VIX fell 4.78% to 14.55, closing in the bottom sixth of a 14.39–15.42 range and printing its lowest close since 30 July. It sits at 13% up range inside Hedgeye's 14.18–17.11 band — 37 basis points from the floor. The VXN fell harder, –6.30% to 20.97, on a day the Nasdaq *rose* more than the S&P. The VXN/VIX ratio compressed from 1.46 to 1.44. Two days ago that ratio was being held up by the options market treating a 3.84% Alphabet move as idiosyncratic; now it is compressing because the index went up and the hedges came off. VIX futures at 16.10 this morning sit 1.55 points above spot — the term structure is in comfortable contango, which is what you would expect and is not a warning.

What that positioning implies going into tonight. A VIX at 14.55 the evening before PPI, jobless claims and a 30-year auction, with a September rate decision still priced close to evenly split at roughly 39% for a hike, is the options market pricing low risk rather than expressing complacency — but it is the second consecutive session in which it has declined to pay up for macro risk. The asymmetry is real: an in-line PPI leaves 37bp of VIX downside inside the band, while a hot core PPI print has 2.56 points of room to the top of it. Note also that consensus for PPI is genuinely unresolved — 4.9% y/y on the sell-side against a 5.7% Federal Reserve nowcast — which is an unusually wide distribution for a number this close to the tape.

Where the crowding is. The rotation described in section 2 has left the market with a new consensus long rather than no consensus long. Optics is the most obvious: Lumentum beat and guided FQ1 revenue to \$1.225–1.275bn against \$1.16bn consensus on Tuesday, Coherent beat and guided FQ1 to \$2.2–2.4bn on Wednesday evening, and both stocks had already run into the prints. Cerebras is the counterweight and the tell — it rose 11.63% into its report, then fell roughly 14% after the bell on a GAAP revenue miss of \$180.11m against \$194.2m consensus, despite beating on core revenue and raising full-year core guidance. When a name can beat on the number management guides to and still lose a seventh of its value, the positioning was doing the work, not the fundamentals.

THE BEAR THREAD WORTH TRACKING

Two datapoints from Wednesday sit against the entire AI-infrastructure long. CoreWeave's quarterly net interest expense was **\$640 million** against \$267 million a year ago, and its most recent bond issue priced at **9.625%** — the wider net loss of \$626m was funded, not operational. Separately, Wood Mackenzie work published Wednesday found that of the **1,066 GW** of data-centre interconnection requested from US grid operators, only about **28%** is likely ever to be committed. More than two-thirds of the announced pipeline is phantom. Neither fact stopped anything on Wednesday. Both are the shape of what stops it eventually.

7

Sector rotation — leaders & laggards

#	SECTOR	CLOSE	CHANGE	NOTE
1	Technology · XLK	\$188.86	▲ +1.49%	Best sector by a wide margin, and a complete reversal of Tuesday's -0.12%. Nvidia is 14.46% of this ETF and was the largest single contributor, worth roughly +0.44pp of the +1.49%; Micron, Intel and AMD supplied most of the rest. Microsoft, at 9.90% weight, subtracted about 0.22pp — and the sector still put on 1.49%.
2	Real Estate · XLRE	\$44.49	▲ +0.93%	From worst on Tuesday to second-best on Wednesday. Hedgeye back-tests REITs as a top #Quad1 allocation and named XLRE in Wednesday's Early Look; the sector closed within eight cents of its Risk Range floor on Tuesday and has now bounced 0.93% off it.
3	Utilities · XLU	\$43.84	▲ +0.48%	Third consecutive gain, confirming the Dow Utility Average at +0.37%. Bond proxies worked because the front end rallied — but note the long end did not, which caps how far this goes.
4	Cons. Staples · XLP	\$85.08	▲ +0.46%	First green session in three. Defensives were bid modestly even as risk assets rallied, which is a mixed rather than a clean #Quad1 signal.
5	Health Care · XLV	\$168.44	▲ +0.26%	Named twice in the Early Look, via XLV and FXH, and sits at 80% up its Risk Range — the most extended long in the Hedgeye table. Just off cycle highs.
6	Financials · XLF	\$57.92	▲ +0.21%	Modest. A curve steepening driven by the long end rather than a falling front end is less obviously good for net interest margin than the reverse.
7	Energy · XLE	\$61.03	▲ +0.16%	Best sector on Tuesday, seventh on Wednesday. Crude settled flat and absorbed a 17.4-million-barrel inventory build; the sector went nowhere with it.
8	Industrials · XLI	\$185.88	▲ +0.10%	Barely green at the ETF level, but the Dow Transports rose 1.44% — the sub-industry did far better than the cap-weighted sector. Another cap-weight-versus-breadth divergence.
9	Comm. Services · XLC	\$110.27	▼ -0.90%	Meta at -3.38% did this almost single-handedly; Alphabet was flat at -0.08%. Third consecutive decline, and third-worst sector on the day.
10	Cons. Discretionary · XLY	\$117.89	▼ -1.13%	Amazon at -1.83% and Tesla at -1.59% are roughly a third of this ETF between them. Retail sales on Friday, consensus -0.2%, is the next test.
11	Materials · XLB	\$52.58	▼ -1.24%	Worst sector. Copper fell and closed below the midpoint of its Risk Range. Materials was the best sector over the past month at +7.63%, so this is a giveback rather than a break.

Read the spread, not the leaders. The gap between best and worst was 273 basis points, against 197bp on Tuesday. Eight of eleven sectors were green against four on Tuesday. The three red sectors — communication services, discretionary and materials — are precisely the three carrying the most concentrated single exposure — Meta, Amazon and copper respectively. Every diversified sector went up. That is the section 2 argument restated in eleven lines.

8

Forward — overnight futures & the week ahead

US futures are inert; the rest of the world is not. ES -0.02%, NQ -0.12%, YM +0.02%, RTY +0.07% — four contracts, no information, inside ranges of a few points. Against that, Nikkei futures are +2.15%, European futures are -0.25% to -0.33%, and VIX futures are +0.48%. The dispersion is entirely outside the United States. Cisco's after-the-bell beat and large FY27 raise, and Cerebras' after-the-bell fall of roughly 14%, appear to have netted out at the index level.

Today's calendar — Thursday 13 August (GMT+8)

TIME	EVENT	CONSENSUS	WHY IT MATTERS
20:30	US PPI, final demand (July)	+0.2% m/m · 4.9% y/y (prior -0.3% / 5.5%)	The day's binary. Consensus is genuinely unresolved — 4.9% y/y sell-side against a 5.7% Fed nowcast. Feeds directly into the 26 August core PCE print.
20:30	US core PPI (July)	+0.3% m/m · 4.2% y/y (prior +0.2% / 4.7%)	Core PPI accelerating month-on-month while core CPI decelerates year-on-year is the combination that would trouble the #Quad1 call.
20:30	Initial jobless claims	202k (prior 199k)	July payrolls were -23,000 with downward revisions. Claims have stayed benign; a break above 210k changes the September conversation.
20:30	Continuing claims	1,800k (prior 1,801k)	Flat expectation. Watch for a build, which is how a soft labour market shows up first.
22:30	Natural gas storage	+31bcf (prior +33bcf)	Nat gas sits at 75% up range against a bearish Hedgeye signal.
—	Fed's Barkin (Richmond) speaks	no set time published	The first Fed official on the record since CPI. No Board members spoke on 11 or 12 August.
—	30-year bond auction	prior 5.058%	The most important line here. The long end sold off Wednesday afternoon and 10s30s is at a cycle high — this auction is where that gets priced.
Fri 04:30	Applied Materials (AMAT), after the Thursday US bell	EPS \$3.39 · revenue \$9.01bn	The semis binary. Guided to roughly 30% semi-equipment growth but trades about 27% off its peak. Call 16:30 ET Thursday = 04:30 GMT+8 Friday.

The rest of the week

- **Friday 14 August, 20:30 — US retail sales advance.** Consensus -0.2% m/m against +0.2% prior. With XLY the second-worst sector on Wednesday and Amazon down two sessions running, a soft print lands on an already-weak group.
- **Friday 14 August, 22:00 — University of Michigan sentiment, preliminary.** Consensus 47.8 against 49.5 prior. These are depressed levels, and consistent with Hammack's line about consumers “expressing despair over persistently higher prices.”
- **Thursday 20 August, 02:00 GMT+8 — FOMC minutes, 28–29 July meeting (14:00 ET Wed 19 Aug).** The meeting produced three dissents for an immediate hike. The minutes are the cleanest available read on how close that camp got, and therefore on September.
- **Wednesday 26 August — July core PCE, and Nvidia's Q2 report.** Core PCE ran 3.3% year-on-year in June against core CPI at 2.5%. Goldman Sachs Asset Management flagged Wednesday that it expects July core PCE around +0.2% m/m and “slightly hotter” than CPI implies, on portfolio management fees tied to equity gains.

9

Corporate news

Four AI-infrastructure reports, four raised guides — and that is the session. CoreWeave and Supermicro reported after Tuesday's bell, Nebius before Wednesday's open, Lumentum after Tuesday's. Every one raised guidance; three of the four also beat on revenue, Supermicro being the exception. The market's response was to buy the hardware and sell the software, and section 2 traces where the money came from.

The prints that moved the tape

COMPANY	MOVE	THE NUMBERS	THE READ
Nebius Group NBIS \$259.20	▲ +34.1%	Q2 revenue \$582.3m, +454% y/y, against \$557–573m consensus. Adj. EBITDA \$236.2m at a 41% margin, up from 32% in Q1 and well ahead of \$157.9m expected. ARR \$3.0bn at end-June from \$1.9bn at end-March. Capex \$5.7bn against \$4.7bn expected.	FY26 ARR guidance of \$7–9bn reaffirmed — note that is ARR, not revenue, and several outlets got that wrong. Contracted power target for year-end raised to 5GW from over 4GW. Four deals averaging more than \$1bn each closed in the quarter.
CoreWeave CRWV \$107.73	▲ +19.3%	Q2 revenue \$2.575bn, +112% y/y, against \$2.560bn. EPS –\$1.14 against –\$1.20 to –\$1.42. Adj. EBITDA \$1.510bn at 59%. Backlog \$104.2bn at 30 June, +246% y/y — and updated to \$129.2bn as of 11 August, roughly \$25bn added in six weeks.	FY26 revenue raised to \$12.4–13.2bn and capex raised to \$35–39bn from \$31–35bn. Contracted power 4.2GW as of 11 August. The counterweight: net interest expense \$640m against \$267m a year ago, and the last bond priced at 9.625%.
Super Micro SMC \$37.61	▲ +19.0%	Q4 revenue \$11.1bn, +93% y/y, a miss against \$11.6bn. But non-GAAP EPS \$1.70 against \$0.92–0.96, and gross margin 17.5% — against an original guide of 8.2–8.4% and a July pre-announcement of 15–17%, so the margin was largely pre-flagged. Over \$60bn of new orders booked in the quarter.	The guide is the story: Q1 FY27 revenue \$14.5–15.5bn against \$11.7–12.0bn expected, and FY27 revenue \$65–72bn against \$52.5–54.4bn consensus. Overhang: federal prosecutors have charged a co-founder over servers allegedly routed to China.
Cisco CSCO \$123.88	▲ +2.86%	The 2.86% was pre-earnings. After the bell: Q4 revenue \$17.252bn, +18%, against \$16.83bn; non-GAAP EPS \$1.22 against \$1.17; record non-GAAP operating margin 35.9%. Networking \$9.791bn, +28%. Product orders +35% y/y, +25% ex-hyperscalers.	FY27 guided to revenue \$72.2–73.4bn and non-GAAP EPS \$5.05–5.11. AI infrastructure orders \$4bn in Q4 and \$9.3bn for FY26; AI revenue guided to \$7.5bn in FY27 from roughly \$4bn. Watch the gross margin — 66.3% against 68.4% a year ago on component costs.
Cerebras CBRS \$262.06	▲ +11.6% ▼ –14% AH	Rose into the print, fell after it. Core revenue \$210m beat the roughly \$194m guide, but GAAP revenue \$180.11m missed \$194.2m consensus and EPS of –\$2.98 missed by \$2.80. Net loss \$450.5m, of which \$386.6m is stock compensation.	FY26 core revenue guidance raised to \$880–890m from \$855–865m. The core-versus-GAAP distinction is why outlets are split on whether this was a beat or a miss. Be precise if you use it — and see section 6 on what the after-hours move says about positioning.
Coherent COHR \$355.64	▲ +8.24%	Also pre-earnings, on Lumentum's Tuesday blowout — revenue \$1.01bn, +109%, adj. EPS \$3.23, and non-GAAP gross margin above 50% for the first time. Coherent's own Q4 after the bell: revenue \$2.05bn, +33.8%; non-GAAP EPS \$1.74 against \$1.62.	Datacom and communications is now 79% of Coherent's revenue and grew 59% y/y. FQ1 guided to revenue \$2.2–2.4bn and non-GAAP EPS \$1.85–2.05. Optics is now the most crowded long into Thursday.
Intel INTC \$100.95	▲ +3.32%	The \$20bn equity offering closed. Upsized from \$15bn: 210,526,315 shares at \$95.00 for net proceeds of about \$19.7bn, against a reported order book near \$100bn.	The stock reclaimed \$100 for the first time since the raise was announced, and \$95 now functions as a reference support. Intel fell 3.7% when the original \$15bn was announced — the upsize was read as strength, not dilution.

Elsewhere

- **Quantinuum (QNT) +28%.** First result as a public company: Q2 revenue \$8.0m, +279% y/y, against \$7.6m; adjusted EPS –\$0.28 against –\$0.26. FY26 revenue guided to \$28–32m against roughly \$26.5m consensus. Announced a partnership with Oracle on hybrid quantum compute via Oracle Cloud Infrastructure. Note Hedgeye names QTUM in its #Quad1 buy list.
- **CAVA +14–16% to about \$70.51.** Q2 EPS \$0.19 against \$0.18, revenue \$365.4m against \$360.1m, and same-restaurant sales +9.0% against +7.6% consensus with traffic +5.3%. In a week when the consumer read is soft, this is the outlier.
- **H&R Block +12–15%, Astronics +22%, Global-e and Firefly Aerospace higher.** H&R Block guided FY27 adjusted EPS to \$6.04–6.24 against \$5.86; Astronics guided FY revenue to \$1.02–1.04bn against \$986.4m; Firefly reported Q2 revenue of \$117.7m against \$88.2m and extended its Lockheed Martin launch agreement to 2031.
- **Losers.** National CineMedia –31% on a Q2 miss alongside an agreement to acquire Captivate Holdings at a \$275m enterprise value. Performance Food Group –4.5 to –5% on a Q4 miss and soft guidance. Neurocrine –2 to –6.5% after Prader-Willi experts raised safety concerns on Vykat XR, with seven death reports on the FDA adverse-event system as of 31 July.
- **Capital and policy.** Bank of America said it will deploy \$250bn into US digital and infrastructure projects by July 2027. Teledyne agreed to acquire Varex Imaging for \$1.1bn. Silicon Labs suspended forward guidance pending its Texas Instruments deal. The New York City Council opened an investigation into prediction markets, writing to Polymarket and naming Kalshi, Coinbase and Gemini — relevant given Sequoia and Wellington are reported to be in talks to back Kalshi at a \$40bn valuation.

10

Macro data

July CPI — released Wednesday 12 August, 20:30 GMT+8 (08:30 ET)

MEASURE	ACTUAL	CONSENSUS	PRIOR (JUN)	VERDICT
Headline CPI, m/m SA	+0.1%	+0.1%	-0.4%	IN LINE
Headline CPI, y/y NSA	+3.4%	+3.4%	+3.5%	IN LINE
Core CPI, m/m SA	+0.2%	+0.2%	0.0%	IN LINE
Core CPI, y/y	+2.5%	+2.5%	+2.6%	IN LINE

All four on the screws — which almost never happens, and which is why nothing broke. Core at 2.5% year-on-year is the lowest reading since February and the third consecutive encouraging core print; Natixis' Christopher Hodge noted the three-month annualised rate has now fallen for four straight months. June's -0.4% headline had been the first monthly decline in six years, so the +0.1% is a normalisation rather than a re-acceleration.

Underneath the headline

- **Shelter +0.1% m/m, +3.2% y/y — but the composition is soft in the wrong place.** Owners' equivalent rent and rent both rose 0.3%; lodging away from home fell 2.8% and did the offsetting. Shelter was still the largest single contributor to the monthly headline rise.
- **Energy -1.5% m/m but +14.7% y/y.** Gasoline -2.9% on the month and +24.6% on the year; fuel oil +39.1% y/y. This is the Hormuz closure showing up in the index, and it is why the year-on-year comparison stays uncomfortable even as the monthly prints behave.
- **Airline fares +2.2% m/m and +25.5% y/y — the largest year-on-year core component.** Directly downstream of jet fuel. Watch this against Dow Transports at +1.44%.
- **Core goods +0.2% m/m, +0.8% y/y — the firmest in months.** Pantheon has tied this to Apple's 15–30% hardware price increases effective 25 June. Used cars +0.4% m/m but -1.9% y/y; new vehicles +0.1% m/m.
- **Medical care +0.4% after -0.1% in June; motor vehicle insurance -0.3% after -2.0%.** Insurance disinflation is the piece the hawks had been waiting on and it is now two months old.
- **The dissonant reading: Cleveland Fed median CPI +0.3% against +0.2% prior.** Breadth did not improve even as the aggregate did. This figure is second-hand and could not be confirmed against a primary source — treat it accordingly.

FED PRICING AFTER THE PRINT

September FOMC (15–16 September, current target 3.50–3.75%) hike odds moved from roughly 44% immediately pre-release to about 39% at the close, having touched 38% mid-session. December sits near 45%. Bloomberg's framing was that bond traders *kept* their September wagers after a tame CPI — the print was not enough to clear the hike out of the curve. Ellen Zentner of Morgan Stanley Wealth Management: "In-line inflation will keep the 'no need to hike rates' narrative that took hold after last week's jobs report intact." Against that, CFRA's Sam Stovall noted that historically "a brand-new Fed chair's first move has often been to raise interest rates."

The other Wednesday releases, both unhelpful. The July federal budget deficit came in at \$432.0bn against \$346bn expected and \$120.0bn prior — the largest monthly deficit since 2021, which is long-end supply. And EIA crude inventories built 17.423 million barrels against an expected 1.405 million draw, the largest build since early 2023. Neither was in the equity market's price.

11

Geopolitics

Iran: the negotiation went backwards, and the throughput data is the only number that matters. Iran's conditions for reopening the Strait of Hormuz now include lifting the US naval blockade, withdrawal of US forces, a permanent end to the war, war reparations and sanctions relief. President Trump added a counter-condition on Monday — compensation from Iran — and told Axios the US is “only semi-negotiating” and will rely on the blockade rather than fresh airstrikes. On Tuesday he claimed Washington has “total control” of the strait. An Iranian security source told Al-Mayadeen on Wednesday that the strait has not been opened and Iranian policy is unchanged.

The enforcement is escalating. US CENTCOM disabled a Panama-flagged cargo vessel attempting to run the blockade on Tuesday, putting two Hellfire missiles into its engine room. As of Wednesday, CENTCOM's running tally is 59 commercial vessels redirected, three disabled and two boarded, against 51/2/2 on Friday. Separately the Houthis are accused of killing six people in missile attacks on a commercial vessel in the Bab al-Mandeb — the first fatalities there in more than a year — with drone attacks also reported on the port of Al-Mukha.

THE NUMBER TO CARRY

Ten vessels crossed Hormuz on Monday. The pre-war run rate was roughly 130 a day. Pre-war flow was about 20 million barrels a day of oil and products, roughly a fifth of global supply. The US Energy Secretary claims a seven-day average near 9 million barrels a day leaving the strait; Commodity Context puts the recent moving-average peak closer to 7 million, and analysts are openly sceptical of the official figure. The EIA does not expect Middle East production near pre-conflict levels until early 2027 and forecasts Brent averaging \$87 for 2026. This is why a 17.4-million-barrel US inventory build moved crude seven cents.

- **Gaza — the off-ramp closed.** Netanyahu rejected Trump's 15-point plan on Sunday, demanding Hamas “genuinely disarm” before any Israeli withdrawal: “We are talking about genuine disarmament, not fictitious disarmament.” Hamas says it will disarm only after full withdrawal. The stalemate strains the Trump–Netanyahu relationship at a moment when crude is acutely sensitive to escalation.
- **Russia and Ukraine — economic warfare in both directions.** Ukraine struck the Taneco refinery in Tatarstan and a major Tyumen petrochemical plant on 10 August, at roughly 1,200km range. Overnight into Wednesday, drones hit Novorossiysk and damaged four Black Sea Fleet warships, with explosions reported near Sevastopol and the Crimean Bridge. Zelensky said Russia used a North Korean ballistic missile in an attack that killed seven at a Zaporizhzhia steel plant. Russia's sustained strikes on Odesa amount to a de facto blockade — watch grain, with wheat futures +3.57% and corn +4.64% overnight.
- **North Korea — second test in under a week.** A ballistic missile launched from Wonsan at about 06:00 KST Wednesday flew more than 700km into the Sea of Japan, following a 6 August test. Ulchi Freedom Shield US–South Korea drills begin 17 August, running eleven days with 18,000 South Korean troops.
- **Trade — Canada is the live front, not China.** Ottawa said Wednesday it is not satisfied with the latest US offer and is weighing an auto-tariffs proposal as it presses for a reprieve. Background: Section 301 tariffs were imposed on 60-plus countries on 24 July at 10% or 12.5%. No US–China trade headline could be verified for 11–12 August; this brief asserts none.
- **Taiwan and China, at the margin.** The FT reported an autonomous AI-agent-orchestrated reconnaissance and intrusion campaign against Taiwan, with attribution not established. Foreign Policy reported China acting as the sanctions-evasion route for Russian LNG via shadow-fleet transfers — the watch item there is US Treasury secondary sanctions on Chinese importers and shippers.

12

Overnight setup — what Asia is trading into

No Asian cash market had opened when this brief was cut at 06:35 GMT+8. Every level below is Wednesday's close carried forward, and is marked as such. The forward information is in the futures, and it is concentrated in one market.

MARKET	WED CLOSE	CHANGE	NOTE
ASIA — WEDNESDAY 12 AUGUST CLOSURES, CARRIED FORWARD			
Nikkei 225	67,524.06	▲ +553.84 / +0.83%	And then the futures went to 68,590 overnight, +2.15%, implying a gap of roughly 1.6% into the open. Note the yen firmed at the same time, which is not the usual pairing for a Nikkei rally.
KOSPI	6,579.04	▲ +233.51 / +3.68%	The strongest move in Asia by a distance, and it lands directly against Hedgeye's decision to remove the Samsung long on Tuesday. Memory names rallied on reports Temasek intends to invest in both Samsung and SK Hynix. Vendor day-range data for this index was incomplete — treat the level as indicative.
Taiwan TAIEX	45,518.07	▲ +397.35 / +0.88%	Third consecutive gain, tracking the SOX. Hon Hai reported Q2 net income up 35% to NT\$60bn and July revenue up 54.2% to NT\$946.5bn.
Hang Seng	25,440.17	▼ -212.65 / -0.83%	Worst major in Asia. Ranged 25,323–25,498. Sits 9.3% below its 52-week high of 28,056.
Shanghai Composite	3,946.68	▲ +12.58 / +0.32%	Quietly higher and holding just under 3,950. The mainland and Hong Kong diverged again — third session in four.
S&P/ASX 200	9,209.40	▼ -41.20 / -0.45%	Second consecutive decline. Materials weakness travels here directly.
Straits Times	5,720.75	▼ -33.42 / -0.58%	Off a 52-week high of 5,774 set earlier this month.
Sensex	77,966.35	▼ -187.90 / -0.24%	Notably weak against its own 52-week high of 86,159 — India remains the underperformer of the large Asian markets.
Jakarta Composite	6,373.85	▲ +105.97 / +1.69%	Closed at the day's high. Second-best in Asia.
NZX 50	13,737.66	▼ -123.00 / -0.89%	Closed at the low of its range.
EUROPE — WEDNESDAY 12 AUGUST CLOSURES			
Euro Stoxx 50	6,533.99	▼ -17.23 / -0.26%	Futures -0.33% this morning. Europe is being marked lower into the open for a second day.
DAX	26,331.07	▼ -60.35 / -0.23%	Futures 26,441, -0.25%. Sits 0.9% below its 52-week high of 26,573.
FTSE 100	10,833.15	▼ -11.04 / -0.10%	The most resilient of the three, and the least exposed to the US software complex.
CAC 40	8,674.94	▼ -40.00 / -0.46%	Weakest of the majors.

JAPAN IS WHERE THE OVERNIGHT DISPERSION SITS

Nikkei futures at 68,590 are up 1,445 points, or 2.15%, against a cash close of 67,524.06. That is the largest forward move on any board this brief covers, and it is happening while the yen is *firmer* — dollar-yen roughly 159.06 against a 159.46 close. A Nikkei rally on a stronger yen is not the export-led reflex trade; it is domestic, or it is foreign money arriving. Hedgeye has a piece running under the heading “Financial Media Has Japan Dead Wrong,” which suggests they think the consensus positioning here is offside.

The cross-check to run at the Tokyo open: whether the semis complex leads, in which case this is simply the SOX at +2.49% and the TAIEX at +0.88% travelling east; or whether banks and domestic cyclicals lead, in which case it is something larger and the yen move is the confirmation rather than the contradiction. Note the Nikkei's 52-week high is 72,831.73, so even after opening at 68,590 this market would still be 5.8% below its own high.

The demand signal was unambiguous, and it came from four independent sets of books. CoreWeave's backlog reached \$129.2bn as of 11 August, having added roughly \$25bn in under six weeks, and it raised FY26 capex to \$35–39bn. Nebius raised its year-end contracted-power target to 5GW from over 4GW and closed four deals of more than \$1bn each in a single quarter. Supermicro booked over \$60bn of new orders and guided FY27 revenue to \$65–72bn against \$52.5–54.4bn consensus. Cisco, reporting after Wednesday's bell, put AI infrastructure orders at \$4bn in the quarter and \$9.3bn for the fiscal year, and guided AI revenue to \$7.5bn in FY27 from roughly \$4bn. Four companies at four different points in the stack all reported that demand is running ahead of supply.

THE COUNTER-EVIDENCE, PUBLISHED THE SAME DAY

Wood Mackenzie: about 28% of the announced pipeline is real. Of the 1,066 GW of data-centre interconnection requested from US grid operators and utilities, only roughly 28% is likely ever to be committed. More than two-thirds of the announced buildout is phantom. For anyone underwriting power, transmission or utility names on announced demand, that is the single most important number published this week — and it landed on a day the market was buying exactly those names.

- **Nvidia's financing architecture is the structural story, and it has two parts that are being conflated.** First, a direct \$5bn commitment announced around 10 August: \$3bn to Lancium, an energy and power developer with a 200MW Abilene site, and \$2bn to Firmus for "Project Southgate." That moves Nvidia from chip supplier to equity holder in the power layer. Second, and much larger, a platform with Apollo, BlackRock, Blackstone, Brookfield, Goldman Sachs and KKR to mobilise more than \$500bn of third-party capital, under which independent vehicles buy Nvidia GPUs and lease the compute — with Nvidia guaranteeing up to 25% of the residual value of its own chips on a deal-by-deal basis. Brookfield's leg alone targets \$100bn, with a \$10bn equity fund of which \$5bn is secured. Nvidia fell 2.4% when this was announced on 10 August; the market's first read was circular financing.
- **OpenAI's leadership churn continued.** Long-serving COO Brad Lightcap is leaving to start something new, following Fidji Simo, Kevin Weil, Bill Peebles and Srinivas Narayanan out of the door. That is five senior departures in a short window.
- **Capex context, for scale.** The five largest US cloud and AI infrastructure providers have committed \$660–690bn of 2026 capex between them, and the fourteen largest listed data-centre operators roughly \$750bn, against under \$450bn in 2025. Set the Wood Mackenzie 28% figure against that and the tension is obvious.
- **Housekeeping on a widely circulated claim.** A story asserting that Nvidia and AMD struck a deal with the US government on 12 August to license AI chip sales to China at 15% of China revenue could not be verified for 2026 and appears to be a date-conflation with an August 2025 arrangement. This brief treats it as false. What is verifiable is older: Commerce closed the offshore-subsidary Blackwell loophole in mid-2026, a Commerce official told Congress on 14 July that H200 shipments to China remain "trivial" despite roughly \$10bn of approved licences, and top-end Blackwell remains banned for China.

14

Beyond the markets

A total solar eclipse crossed Europe on Wednesday — the first over the European mainland since 1999. The path of totality ran across eastern Greenland, western Iceland, a remote stretch of Siberian Russia, northern Spain and a sliver of north-west Portugal. Maximum duration of totality was 2 minutes 18 seconds. In Spain the sun was eclipsed in the late evening, shortly before sunset, producing an unusually dramatic low-horizon totality and very large crowds. The next one to cross the European mainland arrives in 2027, over southern Spain and North Africa.

Two research findings worth knowing about. Researchers demonstrated that ordinary WiFi networks can be used to identify individuals — without cameras, without dedicated sensors, and without the subject carrying any connected device. Separately, a team mapped a hard-to-observe layer of the upper atmosphere using orbital data from roughly 1,200 Starlink satellites, turning a commercial constellation into an atmospheric instrument. Both are the kind of quiet capability shift that shows up in regulation two years later.

In the corridors. Sergey Brin was reported to have urged Google staff to get Gemini “back to the frontier” — worth holding alongside Alphabet’s bearish TRADE and TREND signal and its 17.3 times earnings. Elon Musk said Grok 4.7 is three to four weeks away. And White House Press Secretary Karoline Leavitt is departing at the end of the month.

A sobering one. Colombia’s strongest earthquake this century — magnitude 7.4, on Monday, epicentre San José del Palmar, roughly 150 miles west of Bogotá — had a death toll past 200 by Tuesday, with rescuers still unable to reach the epicentre. A national disaster has been declared.

15

Appendix — stock cards

Wednesday 12 August closes. Percentages are session moves. These are reference cards, not recommendations.

NVDA Nvidia \$224.09 ▲ +3.03% Market cap \$5.42tn — added roughly \$160bn on the day. Volume 108.5m, the heaviest of the mega-caps. No company news; moved on read-through from CoreWeave, Supermicro and Nebius. Reports Q2 on 26 August. At \$5.42tn it is the largest listed company in the world.	MSFT Microsoft \$492.43 ▼ -2.26% Shed roughly \$84bn — the largest single drag on the index. Still 11.9% above its 20-day and 13.9% above its 200-day: this is profit-taking, not a break. Reports of another in-house Maia AI processor as early as September. FQ4 on 30 July: revenue \$90.01bn +18%, Azure +43%.
META Meta Platforms \$578.85 ▼ -3.38% Worst of the eight largest; roughly \$52bn off. Below its 20-, 50-, 100- and 200-day moving averages. Death cross since December 2025. Down about 26% over twelve months; 52-week range \$520.26–\$796.25. Catalyst was thin — a German criminal complaint over Ray-Ban Meta glasses privacy.	GOOGL Alphabet \$343.54 ▼ -0.08% Flat, after a 3.84% fall on Tuesday that alone drove over half the index decline. Trades on 17.3 times earnings — the cheapest of the mega-caps. Named by Hedgeye as the example of a benchmark weight signalling bearish TRADE and TREND. Brin reported to have urged staff to get Gemini “back to the frontier”.
CRWV CoreWeave \$107.73 ▲ +19.3% Q2 revenue \$2.575bn +112%; adj. EBITDA \$1.510bn at 59% margin. Backlog \$129.2bn as of 11 August, from \$104.2bn at quarter-end. FY26 capex raised to \$35–39bn. Contracted power 4.2GW. The risk: net interest expense \$640m in the quarter; last bond priced at 9.625%.	NBIS Nebius Group \$259.20 ▲ +34.1% Q2 revenue \$582.3m, +454% y/y. Adj. EBITDA margin 41%, from 32% in Q1. ARR \$3.0bn at end-June, from \$1.9bn at end-March. FY26 ARR guidance \$7–9bn reaffirmed — ARR, not revenue. Year-end contracted power target raised to 5GW. Q2 capex \$5.7bn.
SMCI Super Micro \$37.61 ▲ +19.0% Q4 revenue \$11.1bn missed; non-GAAP EPS \$1.70 beat \$0.92–0.96 comfortably. Gross margin 17.5% against an original 8.2–8.4% guide. FY27 revenue guided \$65–72bn against \$52.5–54.4bn consensus. Overhang: a co-founder charged over servers allegedly routed to China.	CSCO Cisco Systems \$123.88 ▲ +2.86% The move was pre-earnings; results landed after the bell. Q4 revenue \$17.252bn +18%; non-GAAP EPS \$1.22 beat \$1.17. Total product orders +35% y/y; networking product orders +40% y/y. FY27 guided to \$72.2–73.4bn revenue and \$5.05–5.11 EPS. AI revenue to \$7.5bn.
CBRS Cerebras Systems \$262.06 ▲ +11.6% Rose into the print, then fell roughly 14% after the bell. Core revenue \$210m beat guidance; GAAP revenue \$180.11m missed \$194.2m. EPS -\$2.98, missing by \$2.80. Net loss \$450.5m, of which \$386.6m is stock comp. FY26 core revenue guidance raised to \$880–890m.	INTC Intel \$100.95 ▲ +3.32% \$20bn equity offering closed — upsized from \$15bn. 210.5m shares at \$95.00; net proceeds about \$19.7bn. Reported order book near \$100bn. \$95 is now a reference support. Reclaimed the \$100 handle for the first time since the raise was announced.

SOURCES & VERIFICATION

Hedgeye Risk Management (*app.hedgeye.com*, logged-in): Early Look 12 Aug, Chart of the Day, Macro Show, Crypto Quant, Signal Strength Stocks. US Bureau of Labor Statistics CPI release for July 2026. US Treasury official par yield curve. US Energy Information Administration. Exchange-reported closes cross-checked across three independent public vendors. Company results taken from issuer releases and investor materials. Newswire commentary from Reuters, Bloomberg, CNBC and Newsquawk.

Items this brief could not verify and therefore does not assert: any scheduled Federal Reserve speaking engagement on 11 or 12 August; any fresh remarks from Chair Warsh this week; any US–China trade development dated 11–12 August; the reported Nvidia/AMD China licensing arrangement dated 12 August; and any notable sporting result on 12 August. The Cleveland Fed median CPI figure is second-hand. KOSPI vendor day-range data was incomplete and the level is indicative.